IN THE COURT OF APPEAL OF THE DEMOCRATIC SOCIALIST REPUBLIC OF SRI LANKA

In the matter of an appeal by way of Stated Case on a question of law for the opinion of the Court of Appeal under and in terms of Section 11A of the Tax Appeals Commission Act, No. 23 of 2011 (as amended).

CA Case No: CA/TAX/35/2023
Tax Appeals Commission No. TAC/IT/056/2018

Oriental Consultants Company Limited,
Level 08,
East Tower,
World Trade Center,
Echelon Square, Colombo 01.

Appellant

Vs.

Commissioner General of Inland Revenue,
Department of Inland Revenue,
Sir Chittampalam A. Gardiner Mawatha,
Colombo 02.

Respondent

Before: **M.C.B.S. Morais J.**

&

Annalingam Premashanker J.

Counsel: Dr. Shivaji Felix, PC with N. Satharasinghe, S. Nawarathna instructed by Abdeen Associates for the Appellant.

Manohara Jayasinghe, DSG for the Respondent.

Written Submissions: By the Appellant – on 10.01.2024, 18.12.2025

By the Respondent – on 26.01.2024

Argued on: 30.10.2025

Decided On: **19.03.2026**

JUDGMENT

M.C.B.S. Morais J.

This is an appeal by way of case stated against the determination of the Tax Appeals Commission dated 30th of May 2023 in the case of TAC/IT/056/2018.

This appeal is filed under and in terms of section 11A of the Tax Appeals Commission Act No. 23 of 2011 (as amended). The matter in this primarily deal with the substantial issue of the application of Section 59B of the Inland Revenue Act No. 10 of 2006 (hereinafter sometimes will be referred to as 'IRA 2006').

The taxable period for the Income Tax return for the year of assessment in issue is 2012/2013.

Factual Background

The Oriental Consultants Company Ltd, (hereinafter sometimes will be referred to as the Appellant) is a non-resident company registered in Sri Lanka, whose principle activity is to provide consultancy services. The Appellant has submitted the income tax return for the year 2012/2013 dated 24th on October 2013, which was rejected by the Assistant Commissioner of income tax by the letter of intimation dated 20th of November 2015 and a new assessment

was issued. Being dissatisfied with the said assessment, the Appellant has lodged an appeal to the Commissioner General of Inland Revenue (hereinafter will be referred to as the Respondent). The Respondent after hearing the appeal, has confirmed the assessment of the Assistant Commissioner of income tax by the determination dated 10th of January 2018. Being dissatisfied with the determination of the Respondent, the Appellant has preferred an appeal to the Tax Appeals Commission (TAC), which after considering the both parties, made the determination dated 30th of March 2023, upholding the decision of the Respondent. Being dissatisfied with the said determination, the Appellant has requested the TAC to cause a case stated for the opinion of the Court of Appeal. Accordingly, the following question of law has been raised by the Appellant.

" I. Should the appeal be allowed by operation of law in view of the fact that the determination of the appeal by the Commissioner General of Inland Revenue is time barred under and in terms of section 165 (14) of the Inland Revenue Act, No. 10 of 2006 (as amended)?

II. In any event, is the assessment made by the Commissioner General of Inland Revenue is time barred under and in terms of Section 163 (5) of the Inland Revenue Act, No. 10 of 2006 (as amended)?

III. Has the Assessor erred in law for not provided reasons sufficient in law for making the assessment?

IV. Is the Appellant entitled to the benefit of the concessionary tax rate contemplated by section 59 B of the Inland Revenue Act, No. 10 of 2006 (as amended), read with the Fifth Schedule to the said Act?

V. Is the assessment of income tax payable and the penalty imposed thereon is arbitrary and grossly excessive?

VI. In view of the facts and circumstances of the case has the Commissioner General of Inland Revenue misdirected himself in fact and in law when confirming the assessment?"

As above, there are six main questions of Law raised by the Appellant. Firstly, I will consider the issue in relation to time bar, raised under question of law II. Only if that question is answered in the negative will I proceed to consider the remaining questions. A positive finding on Question of Law II would render the assessment dated 20th of November 2015

invalid, with the self-assessment accepted in accordance with section 163(5) of the Inland Revenue Act No. 10 of 2006.

Questions of Law II

In any event, is the assessment made by the Commissioner General of Inland Revenue is time barred under and in terms of Section 163 (5) of the Inland Revenue Act, No. 10 of 2006 (as amended)?

The second question of law is in relation to the assessment made by the Assessor/Assistant Commissioner of the Inland Revenue Department, and the Appellant contends that is time barred under section 163(5) of IRA 2006.

It is the contention of the Appellant, that the income tax return for the year of assessment 2012/2013 was made on 24th of October 2013 and the notice of Assessment dated 27th of November 2015 was delivered to the Appellant by post on 15th of December 2015. Accordingly, the Appellant submits that the time limit for issuance of notice is expired on 30th of November 2015 rendering the notice of assessment time barred.

Upon the perusal of the determination dated 10th of January 2018 made by the CGIR (Respondent), it is observed that the Notice of Assessment, bearing the date 27th November 2015 had been posted to the company on 14th December 2015, which was delivered on the 15th December 2015. It is further stated that the postmark on the envelope bears the date stamp as 14th December 2015. Hence, it is apparent that the facts asserted by the Appellant stand undisputed.

However, the Respondents' position is that the time limit stipulated under the provision of IRA 2006 is applicable only to the 'making of an assessment' and not for the subsequent 'notice of assessment' to the taxpayer. Therefore, the issue to be decided is whether the making of an assessment is coupled with the due notification of the same to the taxpayer or the act of assessment should be separately considered.

Section 163(5) of IRA 2006 as amended by Act No. 19 of 2009 and Act No. 22 of 2011, reads as follows;

> *"(5) Subject to the provisions of section 72, no assessment of the income tax payable under this Act by any person or partnership –*

(a) who or which has made a return of his or its income on or before the thirtieth day of ***November of the year of assessment immediately succeeding that year of assessment, shall be made after the expiry of two years from the thirtieth day of November of the immediately succeeding year of assessment; and***

(b) who has failed to make a return on or before such date as referred to in paragraph (a), shall be made after the expiry of a period of three years from the end of that year of assessment:

Provided, that nothing in this subsection shall apply to the assessment of income tax payable by any person in respect of any year of assessment, consequent to the receipt by such person of any arrears relating to the profits from employment of that person for that year of assessment:"

Section 163 (5) of IRA 2006, subject to section 72, prescribes limitation periods for assessments of income tax liability under the Act. Where a person or partnership furnishes a return of income on or before 30th November of the year of assessment immediately succeeding the relevant year of assessment, no such assessment may be made after the expiration of two years from the end of that year. In cases of non-compliance with the aforesaid return filing deadline, the limitation period extends to three years from the end of the year of assessment. The proviso excludes from these restrictions any assessment consequent upon the receipt by the person of arrears pertaining to employment profits for that year, thereby preserving the revenue authority's recourse to belatedly disclosed income.

When considering the facts of the case, the income tax return for the year 2012/2013 is furnished in time on 24th of October 2013 and the notice of assessment has been dated 27th of November 2015, which was received by the Appellant on 15th of December 2015. When considering the time limit stipulated under section 163(5), the statutory time bar is engaged on 30th of November 2015. Therefore, it is apparent that the notice has been served on the Appellant after 15 days after the end of the two-year time period prescribed under section 163(5) of IRA 2006.

Further, the Respondents stance in relation to the time bar being applicable only to the making of assessment cannot be accepted as serving the notice of assessment is a precondition for the validity of a complete assessment process.

Moreover, the section 163(1) of the IRA 2006 uses the term '*and **shall** by notice in writing require such person to pay forthwith'* the mandatory wording of the provision clearly indicates the intention of the legislature as such, that the 'making of assessment' and the subsequent 'notice of assessment' are not two distinct act but one act as a whole.

The reason provided for the determination of the Respondent dated 10th of January 2018, is based on the same argument that the provisions of the IRA 2006 is applicable to the 'making of the assessment' and not for the 'notice of assessment', in substantiating their reason, the CGIR has relied on the English judgment of ***Honig and Others (administrators of Emmanuel Honig) V. Sarsfield (H M Inspector of Taxes)[1985] STC31(Ch D),*** The Chancery court held that the assessments were nevertheless in time, because they were "made" when the Inspector signed the book, and not when the notices were served. However, it need to be noted that the issue in relation to ***Honig*** is based on the specific statutory framework of the Taxes Management Act in the United Kingdom, which has a clear distinction between 'making' of an assessment and the 'notice' given. Therefore, it is clear that the same reasoning cannot be adopted to the present scenario since the English procedure in relation to taxation are supposedly different from the Sri Lankan procedure.

Further, in the subsequent appeal made against the determination of the CGIR, the TAC in its determination dated 30th of March 2023, has upheld the position of the CGIR. It is the view of the TAC that the section 163(5) does apply only to the procedure of 'making an assessment' and not for the 'notice of the assessment', since the provisions does not expressly used the term as 'notice of assessment', in substantiation the said position the TAC has also relied on the case of ***Illukkumbura Industrial Automation (Private) Limited V. Commissioner General of Inland Revenue CA/TAX/0005/2016.*** Where it was held that the time bar under section 163(5) is on 'making the assessment' and not on sending the 'Notice of Assessment'. However, it needs to be noted that the recent judgment of the Supreme Court (***Fonterra Brands Lanka (Private) Limited V. Commissioner General of Inland Revenue and others, SC Appeal 187/2014***), has decided otherwise in this aspect, and this court is accordingly bound by the said precedent set forth by the highest forum.

The case of ***Fonterra Brands Lanka (Private) Limited V. Commissioner General of Inland Revenue and others, SC Appeal 187/2014***, decided on 26.09.2025 by His Lordship Justice

Thurairaja, PC, the Supreme Court clearly establishes, what constitutes a valid assessment under the provisions of the Inland Revenue Act.

> *"There is a wider principle at stake, as I noted earlier. Taxation is a compulsory exaction backed by the coercive power of the State. It is therefore imperative that the power to tax be exercised strictly in accordance with law, and within the boundaries the legislature has drawn. Time bars in tax law are not technical traps for the Department; they are jurisdictional limits imposed in the interests of certainty, fairness, and discipline.*
>
> *To erode them by accepting secret assessments or delayed notices would be to unsettle commercial life and to undermine confidence in the rule of law. The letter dated 25th March 2008 was not an assessment. The notice dated 11th June 2008 was issued without jurisdiction. The power to assess expired on the 31st March 2008 and could not be revived thereafter.*
>
> *For reasons above, I answer Questions 3 and 4 in the negative,* ***holding that an assessment is not validly "made" unless it is notified to the taxpayer within the statutory time limit,*** *and that a letter of intimation does not amount to such notification."*

Further, in the case of ***ACL Cables V. The Commissioner General of Inland Revenue CA/TAX/0007/2013*** decide on 16.03.2022 Justice Dushmanta Samarakoon opined that an assessment becomes a valid and enforceable assessment only upon the issuance and communication of the notice of assessment within the prescribed time stipulated by law.

> *"The tax payer could have instituted a suit and recovered the tax paid because there was no "assessment". There was no "assessment" because there was no notice, a demand, a charge, within the limited period.* ***This shows that an "assessment" becomes a valid "assessment" only when notice of assessment is given. For the application of the time limit what must be there is a valid assessment. Such an assessment cannot come into being without there being notice of assessment.****"*

When considering the facts of the case in light of the above recent authorities, it is apparent that the entire assessment process can only be completed upon the adequate notice of assessment being served on the taxpayer within the time frame stipulated by the legislature.

Accordingly, the notice of assessment served on the Appellant on 15th of December 2015 after the statutory time frame had lapsed on 30th of November 2015, is time-barred.

Upon careful review of all the materials presented to this Court, I answer question of law II in the affirmative. Accordingly, it would be purely academic to address the remaining questions of law, as the procedure stipulated by the Inland Revenue Act No. 10 of 2006 was not followed, rendering the entire process *void ab initio.*

Accordingly, the appeal is allowed. The notice of assessment dated 27th of November 2015 is time barred.

The Registrar is directed to serve a copy of this judgment to the Secretary of the Tax Appeals Commission for necessary action.

Judge of the Court of Appeal

Annalingam Premashanker J.

I agree

Judge of the Court of Appeal